

his mind about a stock and sold; and (3) you've got better sources, and they're all around you. What makes them better is that you can keep tabs on them, just as I keep tabs on mine.

If you stay half-alert, you can pick the spectacular performers right from your place of business or out of the neighborhood shopping mall, and long before Wall Street discovers them. It's impossible to be a credit-card-carrying American consumer without having done a lot of fundamental analysis on dozens of companies—and if you work in the industry, so much the better. This is where you'll find the tenbaggers. I've seen it happen again and again from my perch at Fidelity.

THOSE WONDERFUL TENBAGGERS

In Wall Street parlance a “tenbagger” is a stock in which you've made ten times your money. I suspect this highly technical term has been borrowed from baseball, which only goes up to a fourbagger, or home run. In my business a fourbagger is nice, but a tenbagger is the fiscal equivalent of two home runs and a double. If you've ever had a tenbagger in the stock market, you know how appealing it can be.

I developed a passion for making ten times my money early in my investing career. The first stock I ever bought, Flying Tiger Airlines, turned out to be a multibagger that put me through graduate school. In the last decade the occasional five-and tenbagger, and the rarer twentybagger, has helped my fund outgain the competition—and I own 1,400 stocks. In a small portfolio even one of these remarkable performers can transform a lost cause into a profitable one. It's amazing how this works.

The effect is most striking in weak stock markets—yes, there are tenbaggers in weak markets. Let's go back to 1980, two years before the dawn of the great bull market. Suppose you invested \$10,000 in the following ten stocks on December 22, 1980, and held them until October 4, 1983. That's Strategy A. Strategy B is the same, except that you added an eleventh stock, Stop & Shop, which turned out to be the tenbagger.

The result from Strategy A is that your \$10,000 would have increased to \$13,040 for a mediocre 30.4% total return over nearly three years (the S&P 500 offered a total return of 40.6% in the same period). You'd have a perfect right to look at this and say: “Big deal. Why don't I leave the investing to the pros.” But if you added Stop & Shop, your \$10,000 would have more than doubled to \$21,060, giving you a total return of 110.6% and a chance to brag on Wall Street [brag on Wall Street](#).

Furthermore, if you had added to your position in Stop & Shop as you saw